

NEXOVA TECHNOLOGIES PVT. LTD.

Employee Expense Reimbursement Policy

Policy Code: FIN-EXP-001 | Version: 1.2 | Effective: January 1, 2025

Owner: Finance Department | Approved by: Bilal Chaudhry, Finance Manager

Applies to: All Offices — Islamabad | Dubai | London

QUICK REFERENCE CARD — EMPLOYEE EXPENSE POLICY

Key Limits	Submission	Approval Tiers	Timeline
Client entertainment: PKR 15,000/event (max 10 pax)	Portal: expenses.nexova.io	< PKR 5K → Line Manager	Standard: 7 business days
Professional dev: PKR 80,000/year	Deadline: 30 days of expense	PKR 5K–25K → Dept Head	Expedited: 2 business days
Mobile allowance: PKR 3,000/month	Receipts required > PKR 500	PKR 25K–100K → Finance + Head	Corp card reconcile: 5th of month
Home office (one-time): PKR 50,000	Late claims need CFO approval	> PKR 100K → CFO	Effective: January 1, 2025

1. Policy Purpose & Scope

This policy governs the reimbursement of legitimate business expenses incurred by employees of Nexova Technologies Pvt. Ltd. in the course of carrying out their duties. It is designed to ensure financial accountability, fair treatment of staff, and compliance with applicable tax regulations across all three offices (Islamabad, Dubai, London).

1.1 Who Is Eligible

- All full-time and part-time employees on the Nexova Technologies payroll are eligible.
- Contractors and freelancers are not eligible unless explicitly stated in their individual service contracts.
- Employees on probation may submit claims; reimbursement is subject to line-manager confirmation of business necessity.

1.2 Business Expense vs. Personal Expense

A business expense is one that is wholly, exclusively, and necessarily incurred for the purpose of Nexova Technologies' business operations. Personal expenses — including any expense that confers a private benefit — are not reimbursable regardless of the amount. When in doubt, employees should seek prior written approval from their manager before incurring the expense.

2. Approval Authority Matrix

All expense claims must be reviewed and approved in accordance with the following tiered authority matrix. Approvals must be obtained before submission to Finance. Claims submitted without the appropriate approval will be returned without processing.

Expense Amount (PKR)	USD Equivalent*	Required Approver
Below PKR 5,000	Below ~USD 18	Direct Line Manager
PKR 5,000 – 25,000	~USD 18 – 90	Department Head
PKR 25,000 – 100,000	~USD 90 – 360	Department Head + Finance Manager
Above PKR 100,000	Above ~USD 360	CFO (Bilal Chaudhry)

*USD equivalents calculated at the reference rate of 1 USD = PKR 278. Actual reimbursement is made in the currency of expenditure.

3. Eligible Expense Categories & Specific Limits

3.1 Business Travel

- Flights: Economy class is mandatory for all routes. Business class is permitted only for flights of 4 hours or longer, with prior CFO approval.
- Ground transport: Taxis, rideshare, and airport transfers are reimbursable at actuals with receipts. Personal vehicle use is reimbursed at the prevailing EOBI-aligned mileage rate (PKR 22/km within Pakistan).
- Per diem and accommodation limits by city are set out in the table below:

City	Per Diem Rate	Max Accommodation	Flight Class
Islamabad	PKR 3,500 / day	PKR 12,000 / night	Economy
Karachi	PKR 3,500 / day	PKR 15,000 / night	Economy
Dubai	AED 250 / day	AED 450 / night	Economy
London	GBP 85 / day	GBP 180 / night	Economy (Business if 4+ hrs)
Lahore	PKR 3,000 / day	PKR 10,000 / night	Economy

3.2 Client Entertainment

- Maximum per event: PKR 15,000 (inclusive of food, non-alcoholic beverages, and venue).
- Maximum attendees: 10 persons per event; Nexova employees must not outnumber clients.
- A written business purpose must be documented on the claim form (client name, business rationale).
- Alcohol is strictly excluded from reimbursable entertainment expenses (see Section 4).

3.3 Home Office Setup

- Eligible employees: those formally designated as remote or hybrid under an approved arrangement.
- One-time allowance: PKR 50,000 per employee (lifetime; not renewable unless relocation is approved by VP Operations — Usman Baig).
- Eligible items: desk, chair, monitor, keyboard, webcam, and basic office supplies. Equipment remains property of Nexova and must be returned upon separation.

3.4 Professional Development

- Annual cap: PKR 80,000 per employee per calendar year.
- Pre-approval required: requests must be submitted to the employee's department head and HR (hr@nexovatech.com) at least 14 days in advance.
- Eligible costs: course fees, certification exams, textbooks directly related to the employee's role, and approved conferences.

3.5 Mobile Phone Allowance

- Monthly allowance: PKR 3,000, paid as a fixed reimbursement against a submitted phone bill.
- Eligible roles: (i) All Vice Presidents, (ii) Sales Executives, (iii) Field Operations staff, (iv) IT Support, (v) Legal Counsel, (vi) Senior Project Managers.

3.6 Internet Allowance

- Monthly allowance: PKR 2,500 for employees on formally approved remote or hybrid arrangements.
- Claims must be accompanied by a copy of the monthly internet bill.

4. Ineligible Expenses

The following items are explicitly non-reimbursable. This list is illustrative, not exhaustive:

- Alcohol, tobacco, and recreational substances of any kind
- Personal grooming, haircuts, spa treatments, and cosmetics
- Traffic fines, parking penalties, and driving offences
- Airline seat upgrades (from economy to business/first) where flight is under 4 hours
- Hotel minibar and in-room movies or pay-per-view services
- Personal travel, leisure excursions, or tourist activities
- Gifts to employees, family members, or personal associates
- Political contributions or charitable donations (even if business-related)
- First-class or premium cabin flights without prior CFO approval
- Spouse, family member, or personal guest travel, meals, or accommodation
- Gym memberships, fitness equipment, or health supplements
- Clothing and apparel (unless protective/safety equipment required by role)
- Lost or stolen cash
- Late fees on personal credit cards or bank charges
- Expenses incurred more than 30 calendar days prior to submission without CFO approval

5. Submission Process

5.1 Expense Portal

Portal URL

expenses.nexova.io

All expense claims must be submitted through the Nexova employee expense portal at expenses.nexova.io. Paper or email-based claims will not be accepted except in the case of a system outage exceeding 48 hours, in which case Finance must be notified by email at b.chaudhry@nexova.io.

5.2 Submission Deadline

- Claims must be submitted within 30 calendar days of the date the expense was incurred.
- Late submissions require written CFO approval before processing. Repeat late submissions (more than twice in a rolling 12-month period) will be escalated to HR.

5.3 Required Documentation

- All expenses above PKR 500: original receipt or digital equivalent (PDF, clear photograph) required.
- Travel — Flights: boarding pass + e-ticket confirmation.
- Travel — Accommodation: hotel folio issued to Nexova Technologies.
- Client entertainment: itemised receipt + attendee list with company affiliation.
- Professional development: course/event invoice addressed to Nexova + prior approval email.
- Mobile/Internet: copy of monthly bill in employee's name.

6. Reimbursement Timeline

Track	Processing Time	Eligibility / Condition
Standard	7 business days after approval	All approved claims submitted via portal
Expedited	2 business days after approval	Emergency situations only; requires written approval from Finance Manager (Bilal Chaudhry)

Reimbursements are processed through payroll or direct bank transfer in the currency of the employee's home office. Cross-currency conversions use the mid-market rate on the date of reimbursement.

7. Corporate Card Policy

7.1 Eligibility

- Corporate cards are issued to employees at the grade of Senior Manager and above, or as specifically approved by the Finance Manager.
- Issuance requires a signed Corporate Card Agreement. Cards remain the property of Nexova Technologies and must be surrendered upon separation.

7.2 Limits and Reconciliation

- Monthly spend limit: PKR 200,000 per cardholder.
- All corporate card transactions must be reconciled on the expense portal by the 5th of the following calendar month.
- Unreconciled transactions after the deadline will be flagged to the Finance Manager and department head.

7.3 Prohibited Uses

Corporate cards must not be used for any expense category listed in Section 4 (Ineligible Expenses). Misuse of a corporate card will be treated as a policy violation under Section 8.

8. Policy Violations

Nexova Technologies treats expense fraud or misrepresentation with utmost seriousness. The following escalation framework applies:

Offense Level	Consequence
First Offense	Formal written warning issued by HR
Second Offense	Full repayment of disputed amount + written warning on record
Fraudulent Claim	Immediate termination + referral for legal action

All violations will be reviewed by HR (Sana Mirza / Nadia Hussain) in consultation with the relevant department head and the Finance Manager (Bilal Chaudhry). Employees have the right to representation during any formal review process in accordance with the Nexova Code of Conduct.

- Suspected fraud should be reported to ethics@nexovatech.com or to the Legal department at legal@nexova.io.
- The Finance Manager may place a temporary hold on an employee's reimbursements and corporate card during the investigation of a violation.

Document Control

Version	Date	Author	Summary of Changes
1.0	Jan 2024	B. Chaudhry	Initial release
1.1	Jul 2024	B. Chaudhry	Per diem rates revised; home office limit increased to PKR 50,000
1.2	Jan 2025	B. Chaudhry / A. Naqvi	Effective date updated; internet allowance added; approval matrix aligned to CFO authority

Next scheduled review: January 2026. For queries contact Bilal Chaudhry at b.chaudhry@nexova.io.